more resilient.

10. Loss absorbency: the report is in broad agreement with the direction of ***Basel III*** but notes that it does not go far enough since the leverage cap is too lax for systemically mportant banks and has recommended that retail banks should have equity capital of at least 10 per cent of risk-weighted assets (CRAR).
11. The Commission has also recommended the introduction of a redirection service for personal and Small and Medium Enterprises (SME) current accounts which, among other things, would transfers accounts within seven working days.

The report has been a matter of great attention around the world, especially, among the EMEs. It is believed that the implementation of the *Vickers Commission Report* by the UK will see a wave of adjustments being followed by the other economies of the world. Thus, there are chances that via this the 'good' and the 'bad' of the financial regulation will automatically diffuse into the global economy, which may make or break the already fragile world economy!

An issue related to trends in **global liquidity** is dealing with the build-up of international reserves by some countries. It has been argued that the accumulation of reserves has *negative externalities* and also entails avoidable costs to the holding countries. The issue is when the holding of reserves can be deemed excessive or rather *what the optimal level could be,* if any, and whether some kind of 'reserve metrics' could be adopted. While the optimal size and the utility of using reserves to intervene in currency markets may be debatable, the experience, especially in the case of economies like India, has been that reserves have helped graduate to a more open economy and smoothen investment and consumption during periods of external uncertainties caused by extraneous factors. In this context, a distinction needs to be drawn between holding of reserves by countries running a current account deficit (such as India) and reserves accumulated by countries with persistent current account surpluses in addition to large sovereign wealth funds. A related set of issues on which deliberations have been going on in the G-20:

(i) Concerns of strengthening of global financial safety nets;